

Zalazina v Zoobert Ltd

(2013) SLR 189

MacGregor PCA, Fernando, Twomey JJA

3 May 2013

SCA 28/2011

Counsel F Elizabeth for the appellants
 F Ally for the respondents

The judgment was delivered by
TWOMEY JA

[1] Who owns the shares in Med Enterprises Limited? That is the million dollar question lurking in the murky depths of this case, where alleged shareholders of a Seychellois international business company who initially took advantage of the benefits of such companies, namely minimum record keeping and comprehensive confidentiality, now want the Court to publicly ascertain the identity of the beneficial owners of the company by examining those very records and breaching the coveted confidentiality.

[2] Med Enterprises Limited was incorporated in Seychelles as an International Business Company on 25 November 2005 under the International Business Companies Act 1994. The services for its offshore business were provided by FIFCO (Offshore) Services Limited, the second appellant. These included the provision of an agent and a registered office at Premier Building, Victoria. A Seychellois International Business Company is not required to disclose the identity of its shareholders without a court order; the directors may be elected at the first company board meeting; there is

no minimum capital stipulation; only one director or shareholder is required and there is no need to file accounts with the Registrar of International Business Companies.

[3] The first appellant, Tatiana Zalazina, brought an application before the Supreme Court in December 2008 asking the Court to declare her the sole beneficial owner of Med Enterprises Limited. She supported her application by affidavit and several documents: inter alia, the resolution by the company appointing her as sole director and the issuing of 5,000 ordinary shares of \$1.00 in her name. At the hearing, the registered agent of the company, the second appellant, appeared through its manager Paul Chow and confirmed that according to the share register held by FIFCO, the first appellant was the sole beneficial owner of the company, Med Enterprises Limited.

[4] He also gave evidence that his agent in Cyprus had informed him that several fraudulent and/or illegal share transactions had been conducted by a person or persons not authorised by the company and also without the knowledge, permission, authority or consent of the first appellant. The trial Judge, Justice Perera, hearing the application held that the Court was satisfied on a prima facie basis that the first appellant was the sole beneficial owner of the company and ordered that all transactions conducted for and on behalf of the company to date by any person other than the first appellant be null and void and that the second respondent not transfer, give, transmit, dispose of or otherwise deal with the records and documents in his possession in a way prejudicial or contrary to the interest of the first appellant.

[5] Less than two months later, on 18 February 2009, the respondents filed a third party opposition under ss 172–175 of the Seychelles Code of Civil Procedure praying that the Court set aside the judgment of the Supreme Court. They alleged that they were the

legitimate shareholders and directors of the company. The documents they attached to their application reveal what can only be described as an elaborate pass the parcel exercise involving the shares and directorship of Med Enterprises Limited. They averred that the first and sole director of the Company was one Stephen John Kelly who had by resolution of the company, dated 20 July 2007, resigned and appointed one Victoria Shevchuk as the sole director and that he had transferred all his shares to her. Victoria Shevchuk in turn had by resolution of the company on 3 April 2008 resigned and appointed Olga Perova as the sole director and transferred her shares onto her. In addition on 15 December 2008, by agreement of the company, Olga Perova had transferred her shares to Zoobert Limited, now the first respondent in the present appeal. The second respondent of this appeal, one Dimitry Podkilzin is the beneficial owner of Zoobert, the sole shareholder of Zoobert Limited and the third respondent, Roy Delcy the sole director of Zoobert Limited having been appointed after the resignation of Olga Perova.

[6] Both parties claimed that their derivation of title to the shares was made out by the documents they produced and each side alleged the other of fraud or illegality. It is certainly not possible that Med Enterprises Limited was incorporated on 25 November by two different persons and that its total shares issued to two different persons who both claim to be the sole director and shareholder. Somebody is not telling the truth.

[7] None of the parties led evidence at the trial of the third party opposition, relying instead on their affidavits and attached documents. The trial Judge found that the case for a third party opposition had been made out and he went to order “a retraction” of the original judgment. The appellants have now appealed this decision on seven

grounds but only the following grounds as summarised and reworded by this Court were substantially proceeded with:

- 1) That the trial Judge erred in law by finding that the respondents had satisfied the conditions under s 174 of the Code of Civil Procedure and had an interest in bringing a third party opposition to the original judgment.
- 2) That the trial Judge erred in law when he failed to consider whether the share transfer from Stephen John Kelly was valid as it was not properly registered.
- 3) That the trial Judge erred by failing to give proper consideration to the documentary evidence, namely to consider the effects of the trust document (I5) in favour of the first appellant.
- 4) That the trial Judge erred when he failed to consider the appellants' plea in limine litis namely that the respondents had locus standi to bring this case and that their supporting affidavits were proper under the provisions of the Civil Procedure Code.
- 5) That the trial Judge erred when he concluded that the respondents had discharged their burden of proof to justify the setting aside of the judgment of the original case.

Ground 1 – third party oppositions

[8] The trial Judge correctly identified the provenance of the law pertaining to the unusual procedure invoked in this case. He found that ss 172–175 of the Seychelles Code of Civil Procedure have their origins in French law and referred to the *Encyclopédie Dalloz* for

guidance. He held, based on the French jurisprudence, that three conditions must exist in order to sustain an opposition by a third party namely:

- 1) That the judgment is of such nature that it causes prejudice to a third party.
- 2) That the third party was not party to the case when it was heard.
- 3) That the third party was not represented at the hearing.

He found that these conditions were satisfied and set aside the original judgment in the case. We are of the view that the Judge was correct in his consideration of the law in respect of the conditions to be met in order that third party oppositions to judgments be permitted. Where he erred was in his assumption that he was only seized with the duty of setting aside the judgment.

[9] As this is the first time that the ss 172–175 procedures have effectively been used in Seychelles we have taken some time to examine the rules relating to the provisions. The Seychelles Code of Civil Procedure, since 1920, is based almost entirely on provisions of English civil procedure. However, certain sections which derive from the French Civil Procedure Code, of which ss 172–175 form part, continued to have the force of law and were incorporated in the 1920 Code which to this date remains largely unchanged. Section 327 of the Seychelles Code of Civil Procedure states that:

Articles of the French Code of Civil Procedure repealed by any law which is repealed by this Code shall remain repealed.

Section 21(1) of the Interpretation and General Provisions Act, Cap 103 of the Laws of Seychelles stipulates:

Where in an Act terms or expressions of French Law are used, they shall be interpreted in accordance with French Law.

The fact that ss 172–175 were not repealed and the effect of s 21(1) above is to guide us back to French law, currently arts 582–592 of the French Civil Procedure Code. The equivalent rules are contained in the Mauritian Code of Civil Procedure at art 474 et seq.

[10] It is useful to bring to light the French provisions. Article 582 of the Code de Procedure Civile states:

La tierce opposition tend à faire rétracter ou réformer un jugement au profit du tiers qui l'attaque. Elle remet en question relativement à son auteur les points jugés qu'elle critique, pour qu'il soit à nouveau statué en fait et en droit.

(Third-party proceedings aim at retracting or varying a judgment in favour of the third party who impugns it. Third party proceedings bring back into issue, with regard to its originator, the points decided which he challenges so that a new ruling may be given on the factual and legal grounds).

(As translated by the official French government site *legifrance*).

And art 587:

La tierce opposition formée à titre principal est portée devant la juridiction dont émane le jugement attaqué.

La decision peut être rendue par les mêmes magistrats.

Lorsque la tierce opposition est dirigée contre un jugement rendu en matière gracieuse, elle est formée, instruite et jugée selon les règles de la procédure contentieuse.

(Third party proceedings made as the main issue will be brought before the court from which the impugned judgment emanated.

The same judges may render the decision.

Where third party proceedings are directed against a judgment rendered in a non-contentious matter, it will be brought, examined and determined in accordance with the rules governing contentious procedures.)

[11] Our provisions relating to a third party opposition are truncated but the gist of the French law is preserved in ss 172–173 of the Seychelles Code of Civil Procedure which state:

Any person whose interests are affected by a judgment rendered in a suit in which neither he nor persons represented by him were made parties, may file an opposition to such judgment.

Such opposition shall be *formed by means of a principal action* to which the parties to the suit, in which the judgment sought to be set aside was obtained, shall be made defendants.

[Emphasis added]

Although the articles of the French Civil Procedure Code cited have no direct application, our provisions relating to third party oppositions originate from them and we are therefore guided by them in interpreting s 173. The use of the term “principal action” is similar to the French terminology *titre principal* and is indicative of the fact that

third party opposition hearings are like ordinary suits. Hence, while we agree with the trial Judge insofar as his analysis of the *tierce opposition* is concerned and his finding that the respondents satisfied the conditions necessary to show that they had an interest in this case, we are of the view that his decision fell short of what is then required in proceedings for a *tierce opposition*.

[12] Having found that the respondents had an interest in the case it was incumbent on him to then weigh the evidence adduced to decide whether the respondents had satisfied the burden and standard of proof in order that the original judgment could be set aside. This ground therefore has merit.

[13] Given our finding in respect of Ground 1 we have considered whether under the Court of Appeal Rules we should remit the matter back to the trial Judge for the consideration of the evidence. In view of the fact that we are permitted by the Rules to exercise any power that the trial Court itself had and in further view of the fact that this matter was decided purely on affidavit and documentary evidence we have decided to weigh the evidence adduced on record ourselves. We do this as we find according to the Rules that the interest of justice may be best served in this way.

Grounds 2 and 3 – the share transfer from Stephen John Kelly and the trust document

[14] We therefore have to consider the next two grounds of appeal raised in respect of the validity of the share transfer by Stephen John Kelly and the trust document. With regard to the documentary evidence produced by the respondents, we begin by examining the issue of shares to Stephen John Kelly on 25 November 2005. Mr Elizabeth has drawn our attention in particular to the following

provisions of the International Business Companies Act 1994 as amended:

Section 28(1)

A company incorporated under this Act shall cause to be kept one or more registers to be known as Share Registers containing–

- (a) the names and addresses of the persons who hold registered shares in the company...

Section 28(3)

A copy of the Share Register, commencing from the date of the registration of the company, shall be kept at the office of the company referred to in section 38 or such other place as the Directors determine and the company shall inform the Registrar of the address of the other place.

Section 38(1)

A company incorporated under this Act shall at all times have a registered office in Seychelles.

Section 39(1)

A company incorporated under this Act shall at all times have a registered agent in Seychelles who is licensed to provide international corporate services under the International Corporate Services Providers Act 2003.

It is clear that the Act provides for the disclosure of legal and beneficial ownership of issued and transferred shares to the registered

agent. Since the authenticity of the resolution passed on the date of incorporation of Med Enterprise Limited issuing the shares to Stephen John Kelly and the share certificate in his name are challenged as are the shares in the name of Tatiana Zalazina, we have to consider the official share register kept by the agent of the company.

[15] Mr Paul Chow, the director of FIFCO who was the registered agent of Med Enterprises and the second appellant in this case testified in the original case and deposed by affidavit in the present case. He stated that the share register reveals the first appellant, Tatiana Zalazina, as the sole beneficial owner of the company. He also stated that the issue of shares or appointment of Stephen John Kelly is not matched by the entries in the register. Moreover, he raises a doubt as to the authenticity of the resolution and minutes of Med Enterprises appointing Stephen John Kelly as director as forwarded to him by an intermediary in Cyprus. These were only received by him by fax from Cyprus on 27 November 2007 two years after the incorporation of the company. He also deposed that the document is a scanned document and that despite his repeated requests he has never received the original. He also deposed that the stamp of one of his companies, Saks and Associates is used irregularly on the document in that the company normally inserts its stamp on top of the letterings and not underneath them. We have no reason to disbelieve him. He has nothing to gain by these proceedings.

[16] We are strengthened in this view by another document produced in this case. This is a declaration of trust sent to Mr Chow which we partly reproduce below:

Declaration of Trust

Med Enterprises Limited

I/We Stephen John Kelly

Hereby Acknowledge and Declare that We hold Five
Thousand Ordinary Shares (hereinafter called the
Share) registered in our name as Nominee of and
Trustee for

Mrs. Tatiana Zalazina

(hereinafter called the Owner) and

We UNDERTAKE AND AGREE not to transfer deal
with or dispose of the Share save as the owner may
from time to time direct ...

Dated this 25th November 2005.

Its content is baffling. Why may we ask was it necessary for Stephen
John Kelly to execute such a document when he claims he was both
the legal and beneficial owner of the shares? Why was the trust
document not lodged with the agent of the company as was required
by law? In any case, the document contradicts the statements
contained in the respondents' pleadings, their affidavits and other
documentary evidence they have produced. Stephen John Kelly
cannot assert on the one hand that he is the beneficial owner of the
shares and then on the other hand that he is only the bare trustee or
nominee of those shares. If he was only the bare trustee how did he
transfer the shares without the knowledge and authorisation of
Tatiana Zalazina, the beneficial owner of these shares contrary to the
terms of the trust? In any case there is no evidence that he was ever
appointed trustee or nominee by Tatiana Zalazina apart from the trust
document which is nothing but a self-serving document as it is neither
acknowledged nor signed by the nominator or beneficial owner.
Moreover, as we have already pointed out, anonymity of the owner of
bearer shares is not permissible under the 2003 Act as they have to be
registered with the agent.

[17] Other aspects of the trust document are disturbing. Section 3 of the International Trusts Act 1995 states:

This Act applies to international trusts arising voluntarily or resulting by operation of law or by a decision of the court.

Seychelles is a civil law country in terms of its private law. This sets its Civil Code on a collision course with not only the International Trusts Act but also the International Business Companies Act and the International Corporate Services Providers Act 2003 as the civil law regime does not recognise anonymity in terms of ownership of property. Hence international trusts in Seychelles are only statutory creations of the 1995 Act and not common law trusts. Despite the wording of s 3 of the 1995 Act the only trusts permitted under the law are statutory. The Act lays down strict conditions for the creation of such statutory international trusts possibly to avoid their incompatibility with our civil law regime. The trust document in this case runs foul of numerous mandatory provisions of the Act: only one trustee is appointed (despite the provisions of s 22(1) which provides for limited circumstances in which one trustee is permitted), no settlor is identifiable and the only trustee is not a resident of Seychelles (see s 4(1)(b)).

[18] Mr Ally has urged us to rely on the certificates of incumbency and incorporation of the company produced by the respondents which according to him are evidence that Stephen John Kelly was the original director and shareholder of the company. These are two incumbency certificates allegedly signed by Jane Etienne and Lucy Chow on 29 August 2007 and 27 May 2008 respectively. The certificates are on FIFCO letter heads. Also attached to the respondents' affidavits are certificates issued by Lucy Pool and Alexia Amesbury acting as notaries certifying the certificates of incumbency as originals. The entries on these certificates of

incumbency do not match the entries on the share register also held by FIFCO. They certainly fit the account of the respondents who derive ownership of the shares from Stephen John Kelly but it is clear to us that this is an attempt to retrospectively give legitimacy to an original share issue that is highly suspect. Getting notaries to certify possible forgeries as originals does not make these documents authentic. We are in any case bound by the International Business Act to accept only the entries of the share register. The lacunae in the Act are certainly obvious in this case. What are laid bare are the shortcomings of its provisions in permitting such a high level of secrecy in the formation of international business companies. By contrast companies incorporated locally under the Companies Act 1972 must file their Memorandum and Articles of Association at the Companies Registry. No tampering with shares can take place in this context. Further, it is certainly questionable whether the regime under the 1995 International Business Act as it stands serves Seychelles well especially in terms of its associate membership of the Financial Action Task Force (FATF) and the FATF 40 + 9 Recommendations. These concerns should certainly be borne in mind given proposed legislation to unify and replace the existing dual company law system operating under the two Acts.

[19] For the reasons we have already outlined and for the fact that the trust document raises more doubts than provides answers, we have no hesitation in finding that the trust document and the certificates of incumbency are invalid documents and incapable of producing legal effects. We do not accept that Stephen John Kelly was either the legal or beneficial owner of the shares. As the transfers of his shares to subsequent transferees were fruit of the poisonous tree, these are also invalid, null and void.

Grounds 4 and 5 – pleadings, locus standi and burden of proof

[20] There are also serious shortcomings in relation to the plaintand affidavits of the respondents. One Victoria Valkovskaya, having produced a special power of attorney has sworn an affidavit in which she states that she is authorised to represent the first and second respondents. It would appear that this is the only statement she could truthfully and validly make under the laws of Seychelles in the affidavit. She is precluded from swearing an oath and making other statements regarding matters of which she has no personal knowledge and cannot prove. The Seychelles Code of Civil Procedure in no uncertain terms stipulates that:

Affidavits shall be confined to such facts as the witness is able of his own knowledge to prove....

On those grounds alone the pleadings of the first and second defendant should be struck out as they are not maintainable. The same applies to Roy Delcy, the third defendant. He also has no personal knowledge of what he depones in his affidavit.

[21] The issues of locus standi and whether the respondents have succeeded in meeting the burden of proof in this case, therefore also have merit but in view of our decision in relation to the more important grounds canvassed in this appeal which has found favour with this Court it would be purely academic to consider them. Accordingly, this appeal is allowed with costs.

[22] We wish to make a final observation. We are of the view that this case reveals serious issues involving a financial and possibly criminal scam to which our financial sector may become vulnerable unless properly checked. We therefore further order that copies of this judgment be served on both the Seychelles International Business

Authority and the Financial Investigation Unit for whatever further action they may deem fit to discharge of their statutory duties in the light of our findings.

Rural Municipality of Murray Harbour **By Law #113**

Being a bylaw to regulate the proceedings of Council

BE IT ENACTED by the Council of the Rural Municipality of Murray Harbour as follows:

• **~~PART I – INTERPRETATION AND APPLICATION~~**

• **~~Title~~**

- ~~This Bylaw shall be known as, and may be cited as the “Procedural Bylaw”.~~

• **~~Authority~~**

- ~~Subsection 86(2)(c) of the *Municipal Government Act* R.S.P.E.I. 1988, Cap. M 12.1., provides that a Council must establish a procedural bylaw to regulate its proceedings in accordance with the Act.~~

• **~~Application~~**

- ~~This bylaw applies to all Members of Council, the Chief Administrative Officer, Members of any Council Committees, Rural Municipality of Murray Harbour employees, those who appear before Council and Members of the general public.~~
- ~~When any matter relating to proceedings arise which is not covered by a provision of this bylaw or the Act, the matter shall be decided by reference to the latest edition of Robert’s Rules of Order.~~
- ~~In the event of any conflict between the provisions of the Act and this bylaw, the Act will prevail.~~

• **~~Definitions~~**

- ~~“Chief Administrative Officer” or “CAO” means the administrative head of a municipality as appointed by Council under subsection 86(2)(c) of the *Municipal Government Act*.~~
- ~~“Council” means the Mayor and other Members of the Council of the municipality.~~
- ~~“Councillor” means a Member of Council other than the Mayor.~~
- ~~“Point of information” means the procedural mechanism by which a Member may present or receive information of interest to Council.~~

- ~~“Point of order” means the procedural mechanism by which a Member may rise where this by law or any other procedural legislation is believed to have been infringed.~~
- ~~“Point of privilege” means the procedural mechanism by which a Member may rise to address incorrect, defamatory or slanderous statements made about the Council, Councillors, or employees of the municipality.~~
- ~~“Quorum” is a majority of all the Members of Council or a Council Committee. Vacancies are not counted in determining quorum except where the remaining number of Council Members is not less than four.~~
- ~~“Regulations” means the Regulations adopted by the Lieutenant Governor in Council pursuant to the *Municipal Government Act*.~~

• ~~PART II — MEETINGS OF COUNCIL~~

• ~~First Meeting~~

- ~~A newly elected Council shall not transact any business until the Oaths of Office have been taken and subscribed to by persons present who have been elected to office.~~
- ~~At the first meeting of Council following a general election, Council shall:~~
 - ~~establish by resolution a schedule of meeting dates for the next 12 months, providing for no fewer than six (6) Council meetings open to the public in accordance with 110(3) of the *Municipal Government Act*; and~~
 - ~~appoint Council Members to Council Committees in accordance with the Regulations and this bylaw if Council so desires to create Committees.~~

• ~~Scheduling of Meetings~~

- ~~Regular Council meetings shall be held on the first Wednesday of each month at the Municipal Offices commencing at 7:00pm, unless changed by resolution of the Council.~~
- ~~The CAO will ensure that the schedule of regular meetings is published in accordance with subsection 110 (3) and (4) of the Act, the requirements of the Regulations, and subsection 7.2 below.~~
- ~~If a regularly scheduled meeting of Council falls on a day that is a Statutory Holiday, the regular Council meeting will be held the following day unless rescheduled to another day or cancelled by resolution of Council.~~
- ~~A regular meeting of Council may be rescheduled:~~
 - ~~by resolution of Council;~~
 - ~~in accordance with this bylaw; or~~
 - ~~by the CAO if it is apparent that quorum will not be achievable.~~

- Council may, by resolution, establish a time limit for any meeting and may extend the time limit for any regular Council meeting with a unanimous vote in favour of the motion to extend the meeting.
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- **Notice of Meetings**
- Notice of regularly scheduled Council meetings will be included in an annual schedule of meetings.
- Council shall post the annual schedule of Council meeting, including the date, time, and place of each meeting in:
 - the Municipality's web site, and
 - the Municipality's Notice Board located in the Community Centre. As further options, the CAO may also include signage, posters, newsletters or newspaper advertisements as per section 110(4)] if additional notification is deemed necessary by the Council.
- If Council changes the date, place or time of a regular or special meeting, the CAO must give at least twenty four (24) hours' notice of the change to the public through the format's noted in Section 7.2 above.
- If Council changes the date, place or time of a regular or special meeting, the CAO must give at least twenty four (24) hours' notice of the change to all Members of Council by providing a copy of the notice to each Council Member at the place to which the Member has directed such notices be sent.
- The notice shall specify the type of meeting and the actual or revised date, place and time of the meeting.
- Notice of a change in date, time or place of a regularly scheduled meeting must be provided at least twenty four (24) hours in advance of the meeting to any Councillors not present at the meeting at which the change was made and to the public.
- Notice of special meetings must be provided at least twenty four (24) hours in advance of the meeting to all Members of Council and the public.
- Notice of a meeting or hearing must be given at least seven (7) days before the Council meeting or public hearing, as the case may be, at which any of the following matters is to be considered:
 - a proposal by Council to transfer land below fair market value (subsection 143(1) of the Act);
 - a local improvement to which one or more objections were made to the CAO within 30 days of receipt of notice thereof (section 203 of the Act); or
 - a permanent street closure (subsection 213(3) of the Act).

- ~~Any other forms of notice required by Council or a bylaw shall be given in accordance with this bylaw.~~

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- ~~**Special Meetings**~~

- ~~Pursuant to section 121 of the Act, a special meetings of Council will be called by the CAO when requested in writing by:~~

- ~~the Mayor; or~~

- ~~a majority of the Councillors.~~

- ~~The request for a special meeting shall include a statement of the purpose of the meeting.~~

- ~~A special Council meeting shall be held at:~~

- ~~the first available date where quorum can be achieved; or~~

- ~~no later than twenty one (21) days after the date that the CAO receives the request.~~

- ~~Pursuant to subsection 121(4) of the Act, no business other than the business that Council has stated in the meeting notice will be transacted at a special meeting unless all Members are present and unanimously agree to deal with other matters.~~

- ~~**Closed Meetings**~~

- ~~Council or a Council Committee may, by resolution passed at a public meeting of the Council or Committee, hold a meeting that is closed to the public when the subject matter of the meeting is considered to be confidential in accordance with section 119(1) of the *Municipal Government Act*.~~

- ~~Council may, by resolution, establish a regular schedule of standing closed meetings, and notice of the schedule of closed meeting shall be provided through a sign posted in a prominent location available to the public.~~

- ~~No resolution or bylaw will be passed during a meeting closed to the public other than by resolution set out in section 119(2) of the *Municipal Government Act*.~~

- ~~A resolution to close a meeting to the public must state the reason(s) for closing the meeting, in accordance with section 119(3) of the *Municipal Government Act*.~~

- ~~The Council or Committee will make any matter considered at a closed meeting public when confidentiality is no longer required, in accordance with subsection 119(4) of the Act.~~

- ~~No Council Member, Council Committee Member or employee of the Municipality shall, subject to subsection 119(5) of the Act, disclose or act on any information acquired at a closed meeting of Council or a Council Committee respecting a matter or report~~

disclosed or discussed at the meeting, prior to the matter or report being dealt with at an open meeting of Council or the Council Committee.

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- **Meeting by Electronic Means**

- Pursuant to section 122 of the Act, Council hereby authorises meetings to be conducted by electronic means over such mediums as but not limited to computers, cell phones, iPads or tablets, in accordance with the Act, the Regulations, and the provisions of this bylaw.

- Council shall hold a meeting by electronic means upon passage of a resolution to that effect, where the majority of Council Members are unable to meet in person.

- Pursuant to subsection 122(2) of the Act and subject to section 10.5 of this bylaw, a Council Committee may hold a meeting by electronic means upon passage of a resolution by the Committee to that effect.

- A meeting shall only be conducted by electronic means if the electronic means by which the meeting is conducted enables, at a minimum:

- the Council or Council Committee Members participating in the meeting to hear and speak to each other; and

- where the meeting is open to the public, the public to see and hear the meeting's participants at a place specified in the notice of the meeting.

- The CAO shall ensure that at least twenty four (24) hours' notice of an electronic meeting is given to all Council Members or Committee Members and to the public of a meeting, advising:

- that the meeting will be conducted by electronic means; and

- where the meeting is open to the public, of the location of the facilities where the public can see and hear the meeting.

- The CAO shall ensure that a municipal employee is present at the location specified in the notice to facilitate the viewing of the meeting and to ensure that the public can see and hear the meeting.

- **Electronic Participation in Meetings**

- Pursuant to subsection 122(4) of the Act, a Council or Council Committee Member who is unable to attend a meeting of Council or the Council Committee in person may participate in the meeting by telephone or by electronic means.

- A Council or Council Committee Member may only participate by telephone or by electronic means if the Council or Council Committee Members are able to hear and speak to each other.

- ~~Where a Council or Council Committee Member is participating in a meeting conducted by electronic means or is participating by telephone or electronic means and there is a report or recommendation to be considered in respect of a matter before the Council or Council Committee, the Council or Council Committee Member shall take part in the debate and vote on that matter only if the Member has before him or her a copy of the report or recommendation to be considered, in accordance with subsection 122(6) of the Act.~~

- ~~Pursuant to subsection 122(4) of the Act, Council Members participating by telephone or electronic means are considered to be present at the meeting.~~

- ~~**Electronic Participation in Closed Meetings**~~

- ~~The chair of Council or a Council Committee meeting shall require every Council or Council Committee Member participating by telephone or electronic means to confirm that there is no one else present in their location who is able to hear the discussion during the closed meeting.~~

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- ~~**PART III — COUNCIL MEETING PROCEDURES**~~

- ~~**General**~~

- ~~The Mayor will preside over all Council meetings except where the Act provides otherwise, and shall perform the duties enumerated in Section 89 of the Act, including preserving order, enforcing rules, deciding points of privilege and order, and advising on points of procedure.~~
- ~~Pursuant to subsection 91(1) of the Act, the Deputy Mayor will preside in the Mayor's absence.~~
- ~~The Members of Council may appoint an Acting Mayor in accordance with subsection 90(4) of the Act, where:~~
 - ~~the Mayor and Deputy Mayor are absent, incapacitated or otherwise unavailable and neither of them has appointed another Member of Council to act in his or her stead; or~~
 - ~~the offices of Mayor and Deputy Mayor are vacant.~~
- ~~Pursuant to subsection 91(5), the term of an Acting Mayor continues only until the Mayor or Deputy Mayor is no longer absent, incapacitated or otherwise unavailable and only until a new Mayor is declared elected, unless the appointment is revoked earlier by the Council.~~

- ~~**Agendas**~~

- ~~The agenda for each regular and special meetings of Council shall be prepared by the CAO or his or her designate.~~

- ~~The agenda for each regular meeting, along with pertinent correspondence, statements and reports, must be sent to each Member of Council by electronic means (or by means requested by the Member) no later than two (2) days prior to the meeting unless that day is a statutory holiday. If so, the agenda and accompanying documents must be delivered to Council Member no later than two (2) days prior to the statutory holiday.~~
- ~~The deadline for receipt of agenda materials for a regular meeting by the CAO is 4:00pm on the Wednesday preceding the meeting. The CAO has the option of waiving this timeframe.~~
- ~~The CAO may have prepared and printed an agenda to be made available to the public. The agenda shall reflect the matters to be considered, under the following headings, referred to as the Order of Business:~~
 - ~~Call to Order;~~
 - ~~Declarations of Conflict of Interest;~~
 - ~~Approval of Agenda;~~
 - ~~Adoption of Minutes;~~
 - ~~Business Arising from the Minutes;~~
 - ~~Public Presentations/Petitions/Delegations;~~
 - ~~Reports from Standing and Ad Hoc Committees;~~
 - ~~Report from CAO and other Staff Members;~~
 - ~~Recommendations from the Planning Board (when one exists);~~
 - ~~Consideration of Unfinished Business~~
 - ~~Introduction of New Business;~~
 - ~~Introduction and Reading of Bylaws;~~
 - ~~Appointments to Committees;~~
 - ~~Adjournment;~~
- ~~any additional matter not included on the agenda shall only be considered with the unanimous consent of all Members of Council present at the meeting.~~
- ~~**Quorum**~~
 - ~~A quorum is required at all times for Council meetings, in accordance with Section 113 of the Act.~~
 - ~~A quorum is a majority of all Members of the Council.~~
 - ~~Any act or proceeding of Council that is adopted at any Council meeting at which a quorum is not present is invalid.~~
 - ~~Pursuant to subsection 113(3), where there is a vacancy on Council, but there are at least a majority of Council Members remaining on Council, a quorum will be a majority of the remaining Members of Council.~~

- ~~Where the number of Council Members is reduced to less than four (4) Members by reason of vacancies, the Council shall apply to the Minister, in accordance with subsection 113(4) of the Act, to have the remaining Council Member or Members to be considered to be a quorum until elections are held to fill the vacancies.~~
- ~~If a quorum is not present within twenty (20) minutes after the time fixed for the meeting, the CAO or delegate shall record the names of the Members present and the meeting shall stand adjourned until the next meeting.~~
- ~~Where the CAO or delegate has confirmed in advance of the meeting that quorum will not be present, the CAO or delegate may provide notice of the cancellation of the meeting to the Members of Council and the public in accordance with section 6, identifying the next meeting.~~

• **~~Voting~~**

- ~~Voting at meetings of Council shall be undertaken in accordance with Section 115 of the Act: —~~
- ~~each Council Member present, except the Mayor, will vote on every matter unless a Council Member is excused specifically from voting, by resolution, or the Council Member is prohibited from voting because the Member has a conflict of interest.~~
- ~~no vote of Council will be taken by ballot or any other method of secret voting and any vote taken by any form of secret voting is of no effect.~~
- ~~all votes of Council, both for and against, will be recorded.~~
- ~~the failure or refusal of a Member of Council to vote on a matter that is properly before the Council will be considered a vote in favour except when the Member is excused or prohibited from voting.~~
- ~~where there are an equal number of votes for and against a bylaw or motion, the Mayor or presiding officer will vote for the purposes of breaking the tie.~~

• **~~Presentation and Delegations to Council~~**

- ~~The following will be permitted at meetings of Council at the time so designated on the agenda, in accordance with the provisions of this bylaw:~~
- ~~presentations to recognize an individual or group on behalf of Council or for a group or individual to present to Council some award or similar honour;~~
- ~~delegations wishing to speak before Council; and~~
- ~~presentations of petitions~~
- ~~The time allotted by Council for each person making presentations or giving recognitions will be five (5) minutes. Additional time may be permitted by a majority vote of Council Members present.~~
- ~~Delegations wishing to speak before Council will advise the CAO or his/her designate of their intention to do so by 4:00pm on the Wednesday prior to the meeting.~~

- Delegates will be granted a maximum presentation time of five (5) minutes to present the matter outlined in the notification unless Council agrees to a waiver of this time restriction by a majority vote of Council Members present.

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- **Adjournment**

- All regularly scheduled Council meetings shall stand adjourned when the Council has completed all business as listed on the order of business or at 9:30pm, whichever is earlier.
- If a Council Member is speaking at the time the meeting is scheduled to end, the Mayor will wait until that person is done speaking before asking Council to consider whether it wants to extend the time of the meeting.
- Any business items that remain on the agenda and which has not been addressed at the time of adjournment will be deemed to be postponed until the next regularly scheduled Council meeting or until a special meeting is called for the purpose of dealing with the unfinished items.

- **Conduct during Council meetings**

- Public

- All persons in the public gallery at a Council meeting will:
- refrain from addressing Council or a Member of Council unless permitted to do so
- maintain quiet and order;
- refrain from disturbing the proceedings by words, gestures or actions including applauding, displaying flags, placards or similar material;
- refrain from talking on electronic mobile devices; and,
- ensure that all electronic devices are silent and operated in such a manner that does not interfere with the meeting or with another person's ability to hear or view the proceedings.

- Delegations and Council Members

- Delegates and Members of Council shall refrain from:
- speaking disrespectfully;
- using offensive language;
- reflecting on a vote of Council except when moving to rescind or reconsider it;
- reflecting on the motives of the Members of Council who voted on the motion or the mover of the motion; or
- shouting or using an immoderate tone, profane, vulgar or offensive language.
- When a Member is addressing the Council, all other Members will:

- remain quiet and seated;
- refrain from interrupting the speaker, except on a point of order or point of procedure; and
- refrain from carrying on a private conversation in such a manner that disturbs the speaker.
- Members shall ensure that all electronic devices remain silent and do not interfere with the meeting.
- Each Member or delegate, as the case may be, shall address the Mayor, but shall not speak until recognized by the Mayor.
- Members of Council wishing to speak at a meeting shall ensure they do not interrupt another Member.
- If more than one Member wishes to speak at a meeting at the same time, the Mayor will indicate which Member will speak first.
- The Mayor, with the approval by resolution of the Members, may authorize a person in the public gallery to address Members only on the topic being discussed at that time and within the time limits specified by the Mayor.
- A motion must be seconded before it can be discussed.
- A motion may be withdrawn by the mover or the seconder at any time before voting.
- The following motions are not debatable by Members:
 - Adjournment
 - To take a recess
 - Question of Privilege
 - Point of Order
 - To limit debate on a matter before Members
 - On Division of a Question
 - Postpone the matter to a certain time
 - To postpone the matter.
- Improper Conduct
 - The Mayor may request that any person(s) in the public gallery or Member of Council who disturbs the proceedings of Council or acts improperly at a Council meeting leave or be expelled from the meeting.
 - If a person(s) disturbs the proceedings of Council or refuses to leave when requested to do so, the Mayor may recess the meeting until the person leaves or adjourn the meeting to another day.

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- **Points of Order, Procedure or Privilege**

- A Member of Council may, at any time, rise on a point of order, a point of privilege or a point of information. All debate shall cease and the “point” shall be clearly stated by the Member and, if applicable, ruled upon by the Mayor.
- A Member of Council may, at any time during debate, request that the question, motion or matter under discussion be clarified or restated.
- Where the Mayor is called upon to decide a point of order or practice in accordance with section 111 of the Act, he or she shall state the question without unnecessary comment and decide the issue citing the rule or authority applicable thereto.

- **Appeal of Decision of the Mayor**

- Whenever a Member wishes to appeal any ruling of the Mayor or a point of order or point of privilege to the whole of Council pursuant to section 112 of the Act:
- the motion of appeal shall be made immediately after the ruling is made by the Mayor or otherwise the ruling will be final;
- the Member may offer a brief reason for the challenge; and
- the Mayor may state the reason for the decision he or she made.
- Following the motion of appeal and the response, if any from the Mayor, the question shall be put immediately without debate.
- The Mayor will be governed by the vote of the majority of the Members of Council present.
- Neither the Mayor nor the appellant will participate in the vote on an appeal.

- **Motions and Debate**

- A motion will express fully and clearly the intent of the mover.
- A motion will not be considered unless it has been seconded.
- Any Member may require the motion under debate to be read at any time during the debate, but not so as to interrupt a Member while speaking.
- When a motion is under debate no other motion may be made, except a motion to:
- amend a motion;
- refer a motion to a Council Committee or administration for a report back to Council;
- postpone a motion to a fixed date;

- request that a motion be put to a vote;
- extend the time for a Council meeting; or
- adjourn the meeting.
- Notwithstanding any other provisions of this bylaw, the Member of Council who moved a motion after a motion is under debate may, with the consent of Council, change the wording of the motion or agree to a change proposed by another Member if the alteration does not change the intention of the motion.
- Any motion will be considered in the order in which they were moved (amendments going from last to first shall be considered first).
- **Minutes**
- The CAO shall ensure that minutes are kept of all Council meetings and Council Committee meetings, both open and closed to the public, in accordance with section 116 of the Act.
- The CAO shall ensure that the minutes of meetings record all resolutions, decisions and proceedings of the Council and shall include at minimum:
- the date and names of all Council or Committee Members and employees present at the meeting;
- the subject matter of the issues discussed; and
- any decisions made.
- Where a meeting is closed to the public, the minutes of the meeting that may be disclosed public will be restricted to
- the date of the meeting;
- the names of Council Members or Committee Members and employees present; and
- the type of matter under section 119(1) of the Act that was discussed at the meeting.
- Copies of the minutes will be open for inspection by any person during regular office hours and copies of the minutes will be provided to any person, in accordance with subsection 116(3) of the Act, on the payment of a reasonable fee established by the Council under a fees bylaw and attached as a schedule to that bylaw.
- Minutes of Council meetings, when approved, shall be signed by the Mayor and the CAO, and minutes of Committee meetings, when approved, shall be signed by the chairperson of the Committee and the CAO or designate (subsection 116(4) of the Act).
- Any Member may make a motion amending the minutes to correct any mistakes. The minutes of each meeting are to be approved at the next regular meeting of the Council and signed by the Mayor, Committee chairperson, or other presiding Member, and the CAO.
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• ~~PART IV – COMMITTEES OF COUNCIL~~

• ~~General~~

- ~~Council may, by resolution, establish a Standing Committees that will consider, discuss and debate matters of Council interest before such matters are forwarded to Council for decision;~~
- ~~Council shall designate the Standing Committees' mandate, term, composition, objectives, tasks, duties and responsibilities, and appoint its Members to deal with any matter.~~
- ~~Standing Committees will cease to exist when Council, by resolution, decides that the objectives of the Committee have been achieved and tasks have been completed. Members of Standing Committees shall serve at the pleasure of the Council and may be removed at any time by a decision of the Council. Standing Committees will cease to exist upon the completion of the term of the Council.~~

• ~~Committee Composition~~

- ~~The Mayor is a Member of every Standing Committee or other organization which the Council or Mayor establishes pursuant to the *Municipal Government Act* and when in attendance the Mayor, subject to Section 115 of the Act, possesses all the rights, privileges, powers and duties of the other Members of the Committee.~~
- ~~The Mayor's attendance will not be included for the purpose of determining a quorum for a Standing Committee meeting.~~
- ~~Each Standing Committee will consist of a minimum of three (3) Members. Two (2) Members will hold the positions of Chair and Vice Chair.~~

• ~~Terms of Committees~~

- ~~Appointments to Standing Committees will be for a period set forth in the appointment resolution and may be reviewed at any time at the initiation of the Mayor.~~
- ~~Appointees may be reappointed from term to term to a maximum of two (2) terms on one (1) particular Committee.~~
- ~~The CAO will advise Council of any Members absent for more than three (3) meetings within a calendar year without written approval from the Council. The Mayor shall address the matter of attendance with the Member and recommend if the Member should be removed from the Committee.~~

• ~~Ad Hoc Committees~~

- ~~Council may appoint Ad hoc Committees of just Council Members or a combination of any number of Council Members and any number of residents who are eligible electors of the community. All Ad hoc Committees shall be chaired by a Council Member.~~

- ~~Such Committees will consider a specific matter and report to Council directly or through a Committee of Council on that matter.~~
- ~~Only the Members of an Ad hoc Committee will participate in, debate or ask questions at an Ad hoc Committee meeting.~~
- ~~An act or proceeding of an Ad hoc Committee is not effective unless it is authorized or adopted by a resolution at a Council meeting.~~
- ~~**Notice of Committee Meetings**~~
- ~~The CAO will ensure that at least twenty four (24) hours' notice is given of a Council Committee meeting to the Members of the Council Committee, and to the public.~~
- ~~Where a regular schedule of meetings for a Committee is established and published in accordance with section 7 of this bylaw, the requirement for twenty four (24) hours' notice of a Committee meeting shall not be required.~~
- ~~Notice to the public of the Committee meeting is sufficient if the notice is posted at the municipal office.~~
- ~~Where the date, time or place of a Committee meeting is changed, the CAO shall ensure that at least twenty four (24) hours' notice of the change is given~~
- ~~to any Committee Member not present at the meeting at which the change was made, and~~
- ~~to the public in accordance with the notification means set out in this bylaw.~~
- ~~**Committee Procedures**~~
- ~~Each Council Committee will meet as soon as possible after it has been appointed and where a Chair has not been appointed by Council, Members of that Committee will select a Chair and Vice Chair, and if required, decide the day and time for holding its regular meetings.~~
- ~~The Chair will preside at every meeting, participate in the debate and shall vote on all motions.~~
- ~~In the absence of the Chair, the Vice Chair will preside, and in the absence of both the Chair and the Vice Chair, one (1) of the other Members of the Committee will be elected to preside and will discharge the duties of the chair during the meeting or until the arrival of the Chair or Vice Chair.~~
- ~~The business intended to be addressed at Committee meetings will be stated in the meeting agenda.~~
- ~~An act or proceeding of a Committee is not effective unless it is authorized or adopted by a resolution at a duly constituted public meeting of Council.~~
- ~~Everyone has the right to be present at Committee meetings that are conducted in public unless the chair expels a person for improper conduct.~~

- If a quorum is not present within twenty (20) minutes after the time fixed for a Committee meeting, the Chair or CAO shall record the names of the Members present and the meeting shall stand adjourned until the next meeting.
- **Delegations to Committees**
- Delegations wishing to appear before Council or a Committee of Council to present information will advise the CAO or his/her designate of their intention to do so not later than two (2) days prior to the meeting.
- Delegations will be limited to a maximum presentation time of five (5) minutes, unless Council agrees to a waiver of this time restriction by the majority of all Council Members present. Each delegate may speak only once.
- **Request for Decision from Council**
- Any delegation wishing to appear before Council or a Committee of Council to make a request for action, support, resources or other will advise the CAO or his/her designate of their intention to make a request in writing no later than two (2) days prior to the meeting.
- **Council By-Laws**
- Council may make, amend or repeal a bylaw in accordance with the procedures established in Part 5, Division 2 of the *Municipal Government Act*.
- A bylaw is only validly made by Council if it is read and formally approved by a majority of the Council Members present and voting takes place on two occasions at meetings of the Council that are held on different days.
- A bylaw may be approved and adopted by Council by resolution after being read a second time.
- Pursuant to section 125 of the Act, if copies of the proposed bylaw have been made available to the public at a Council meeting or prior to the meeting in which the proposed bylaw is to be read, the reading may consist of the recitation of the bylaw name and number and a brief description of its effect. Where copies of the proposed bylaw have not been made available to the public at or prior to the meeting, the entire proposed bylaw will be read word by word.
- A bylaw adopted by Council must be printed, signed by the Mayor and the CAO, and sealed with the corporate seal of the Rural Municipality of Murray Harbour.
- Council may, in accordance with subsection 125(3) of the Act, amend a proposed bylaw after its first reading. If it is amended, the amendment will be read word by word at the meeting even if copies of the bylaw with the proposed amendment are made available to the public.

- Pursuant to section 127 of the Act, the first and second readings of a proposed bylaw are rendered null if the bylaw is not passed within two years from the date of first reading.
- A bylaw established by Council will come into force at the time it is passed unless otherwise provided for in the Act or in the bylaw. If the Act or another Act requires a bylaw to be approved by the Minister, the bylaw will not come into force until the approval of the Minister is given.
- The CAO shall ensure that a copy of every bylaw passed is filed with the Minister within 21 days of adoption or as required by provincial statute. The copy will be certified by the CAO as being “a true copy of the original seen by me” on the document, and shall be signed, dated, and printed with the CAO’s name under their signature, as well as their occupation, address and telephone number.
- Council will make copies of all bylaws available for inspection by any person, in accordance with section 128 of the Act.
- Notwithstanding sections 29.1 and 29.4 of this bylaw, planning bylaws undertaken under the authority of the *Planning Act* shall be made in accordance with section 19 of that Act.

• **Repeal of Existing Bylaw**

- Bylaw 109 of the Community of Murray Harbour is hereby repealed in its entirety

• **Effective Date**

- This Procedural Bylaw, Bylaw# 111, shall be effective on the date of approval and adoption below:

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• _____

First Reading:

This Procedural Bylaw, Bylaw# 111, was read a first time at the Council meeting held on the 10th day of January, 2018.

This Procedural Bylaw, Bylaw# 111, was approved by a majority vote of the Council at the Council meeting held on the 10th day of January, 2018.

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Second Reading:

This Procedural Bylaw, Bylaw# 111, was read a second time at the Council meeting held on the 7th day of February, 2018.

This Procedural Bylaw, Bylaw# 111, was approved by a majority vote of the Council at the Council meeting held on the 7th day of February, 2018.

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Approval and Adoption by Council:

This Procedural Bylaw, Bylaw# 111, was adopted by a majority vote of the Council at the Council meeting held on the 7th day of February, 2018.

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• **Signatures**

Mayor (signature sealed)

Chief Administrative Officer (signature sealed)